

Warsaw, April 18, 2024

Decision

DOKE.561.13.2023

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (consolidated text: Journal of Laws of 2024, item 572), in connection with Article 7 sections 1 and 2 and Article 60 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781) and based on Article 57 section 1 letters a) and h), Article 58 section 2 letter b) in connection with Article 31 and Article 58 section 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (Official Journal of the EU L 119 of May 4, 2016, p. 1, with amendments published in Official Journal of the EU L 127 of May 23, 2018, p. 2, and in Official Journal of the EU L 74 of March 4, 2021, p. 35), hereinafter referred to as the "Regulation 2016/679", after conducting administrative proceedings regarding the imposition of an administrative monetary penalty on Ms. K. K. conducting business under the name O. with its registered office in Z. at ul. (...), the President of the Personal Data Protection Office issues a reprimand to Ms. K. K. conducting business under the name O. for violating the provisions of Article 31 and Article 58 section 1 letters a) and e) of Regulation 2016/679, consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his duties and failing to provide the President of the Personal Data Protection Office access to personal data and information necessary to fulfill his tasks in the proceedings with reference number DKN.5130.1731.2020.

JUSTIFICATION

Factual Background

On March 25, 2020, the President of the Personal Data Protection Office (hereinafter referred to as "the President of UODO") received a report of a personal data breach made by Ms. K. K. conducting business under the name O. (hereinafter referred to as "the Entrepreneur"). The personal data breach involved the encryption of data on servers, as a result of which an unauthorized person could gain access to the personal data of employees and clients. The Entrepreneur decided not to notify the individuals whose data were affected about the personal data breach, as he assessed that there was no high risk of infringement of the rights or freedoms of natural persons. Considering the need to obtain additional information regarding this report, the President of UODO initiated explanatory proceedings with reference number DKN.5130.1731.2020.

As part of the aforementioned proceedings – acting under Article 52 section 1 of the Act on the Protection of Personal Data and Article 34 section 4 of Regulation 2016/679 – the President of UODO, in a letter dated April 12, 2021, requested the Entrepreneur to take appropriate actions aimed at:

- 1) immediately notifying the individuals whose data are affected about the breach of their personal data;
- 2) providing those individuals with recommendations regarding minimizing potential negative effects of the breach;
- 3) eliminating similar irregularities in the future.

Additionally, the supervisory authority informed the Entrepreneur about the necessity to present an anonymized version of the notification directed to the individuals affected by the personal data breach. Regardless of the above, based on Article 58 section 1 letters a) and e) of Regulation 2016/679, the President of UODO requested clarifications in the following areas:

- 1) whether an explanatory procedure was conducted, resulting in the determination of whether a breach of security occurred, and if so, what vulnerability was exploited;
- 2) whether the effectiveness of the technical measures used to ensure the security of processing was regularly tested, measured, and assessed, and if so, please provide evidence of such tests being conducted both before and after the breach;
- 3) whether employees underwent training in information protection, data security, maintaining security measures when using IT systems (including email), and procedures for handling suspicious emails;

- 4) whether the analysis of the incident indicates that other data than those indicated in the report may have been disclosed, in connection with the disclosure of the username and/or password;
- 5) whether procedures for creating backup copies were developed and implemented, and if so, what they were and whether they were modified in connection with the identified breach;
- 6) whether the correctness of the execution and restoration of backup copies was tested.

The Entrepreneur was simultaneously informed that a lack of a comprehensive response could result in the imposition of an administrative monetary penalty, in accordance with Article 83 section 5 letter e) of Regulation 2016/679. On July 25, 2021, a letter from the Entrepreneur with explanations regarding the matter was received by the Office.

****Presented Explanations in the Assessment of the Supervisory Authority****

However, the explanations provided were found to be incomplete and requiring supplementation.

In light of the above – by letter dated December 16, 2021 – the President of the Personal Data Protection Office (UODO) addressed the Entrepreneur with a request to submit detailed responses to previously posed questions, to present appropriate evidence, and also to provide anonymized content of the notification to individuals regarding the breach of their personal data protection. The Entrepreneur was once again informed that a lack of a comprehensive response to the request may result in the imposition of an administrative monetary penalty, in accordance with Article 83(5)(e) of Regulation 2016/679.

The request dated December 16, 2021, was not received and returned to the Office with the annotation "RETURNED not collected in time," which is why – based on Article 44 § 4 in conjunction with Article 42 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (consolidated text: Journal of Laws of 2024, item 572), hereinafter referred to as the k.p.a. – it was deemed to have been duly delivered on January 11, 2022.

By letters dated April 1, 2022, and June 6, 2022, the President of UODO again addressed the Entrepreneur with a request for explanations similar in content to the letter dated December 16, 2021. The Entrepreneur was once again informed that a lack of response to the President of UODO's request may result in the application of sanctions against the Entrepreneur as specified in Article 83(5)(e) of Regulation 2016/679. Despite receiving the correspondence, the Entrepreneur did not provide the requested explanations, indicating that due to poor health, it was not possible to provide information, while also attaching copies of medical certificates regarding incapacity for work to the letters dated April 11, 2022, and June 10, 2022.

The above circumstances of the factual state were established by the President of UODO based on the entirety of the official correspondence sent by the President of UODO to the Entrepreneur, which is included in the case files of case number DKN.5130.1731.2020. This correspondence reflects the entirety of attempts by the President of UODO to gain access to information necessary for the performance of his tasks – that is, to consider the case with reference number DKN.5130.1731.2020. On the other hand, it illustrates the Entrepreneur's reaction to the requests directed to him by the President of UODO – which consisted of submitting medical certificates. In the assessment of the supervisory authority, this constitutes direct evidence of the lack of cooperation by the Entrepreneur with the President of UODO in the performance of his duties.

****Proceedings****

Due to the failure of the Entrepreneur to provide the information necessary to resolve the case with reference number DKN.5130.1731.2020, the President of UODO initiated ex officio – based on Article 83(5)(e) of Regulation 2016/679 – this administrative proceeding with reference number DOKE.561.13.2023, regarding the imposition of an administrative monetary penalty on the Entrepreneur, in connection with the violation of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679. The Entrepreneur was informed of the initiation of the proceedings by letter dated August 7, 2023 (reference: DOKE.561.13.2023.222285), delivered to the Entrepreneur on August 9, 2023. By this letter, the Entrepreneur was obliged – for the purpose of determining the basis for the penalty,

based on Article 101a(1) of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781, hereinafter referred to as "u.o.d.o.") – to provide information on the amount of income achieved for the year 2022 in the form of, for example, a copy of the PIT tax return and a statement of the financial result achieved. The Entrepreneur was also informed that the submission of comprehensive explanations, which the President of UODO had previously requested in the proceedings with reference number DKN.5130.1731.2020, may have a mitigating effect on the amount of the administrative monetary penalty imposed in this proceeding or may result in the decision not to impose it. Furthermore, he was informed of the possibility to express his opinion – before the issuance of the administrative decision, regarding the collected evidence and materials as well as the submitted requests.

In response to the information about the initiation of proceedings by the President of UODO regarding the imposition of an administrative monetary penalty – by letter dated August 17, 2023 – the Entrepreneur submitted explanations in which he addressed the questions posed in previous letters in detail. In response to the request of the President of UODO contained in the letter informing about the initiation of these proceedings regarding the imposition of an administrative monetary penalty, the Entrepreneur requested that no monetary penalty be imposed. As an attachment to his letter dated August 17, 2023, he submitted a copy of the PIT tax return for the fiscal year 2022.

Based on the documentation contained in the case files of case number DKN.5130.1731.2020, it was established that another request for the supplementation of explanations dated August 17, 2023, was directed to the Entrepreneur on October 30, 2023, to which he responded by letter dated November 9, 2023.

After reviewing the entirety of the evidence collected in the case, the President of the Personal Data Protection Office considered the following.

****Legal Provisions****

According to Article 57(1)(a) of Regulation 2016/679, the President of UODO, as the supervisory authority within the meaning of Article 51 of Regulation 2016/679, monitors and enforces the application of this regulation within its territory. As part of its competencies, the President of UODO, among other things, conducts proceedings regarding the application of this regulation, including on...

****On the basis of information received from another supervisory authority or another public body (Article 57(1)(h) of Regulation 2016/679).****

In order to enable the realization of the tasks defined in this manner, the President of the UODO is entitled to a number of powers specified in Article 58(1) of Regulation 2016/679 regarding the proceedings conducted, including the power to order the controller and the processor to provide all information necessary for the performance of his tasks (Article 58(1)(a) of Regulation 2016/679) and the power to obtain from the controller and the processor access to all personal data and any information necessary for the performance of his tasks (Article 58(1)(e) of Regulation 2016/679).

A violation of the provisions of Regulation 2016/679, resulting in a breach of the rights of the authority specified in Article 58(1), is subject to an administrative fine of up to EUR 20,000,000, and in the case of an enterprise, up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying.

Additionally, both the controller and the processor are obliged, at the request of the supervisory authority, to cooperate with it in the performance of its tasks, as stipulated in Article 31 of Regulation 2016/679. Failure to comply with this obligation is subject to an administrative fine of up to EUR 10,000,000, and in the case of an enterprise, up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying.

The President of the UODO is also entitled to a number of corrective powers specified in Article 58(2) of Regulation 2016/679, including the right to issue a reprimand to the controller or processor in the event of a breach of the provisions of Regulation 2016/679 through processing operations. According to Recital 148 of Regulation 2016/679, in order for the enforcement of the provisions of Regulation

2016/679 to be more effective, sanctions, including administrative fines, should be imposed for violations, in addition to or instead of appropriate measures imposed under Regulation 2016/679 by the supervisory authority. If the violation is minor, the monetary penalty may be replaced by a reprimand. However, attention should be paid to the nature, gravity, and duration of the violation, whether the violation was intentional, the actions taken by the controller to minimize damage, the degree of responsibility or any relevant prior violations, the manner in which the supervisory authority became aware of the violation, compliance with measures imposed on the controller or processor, adherence to codes of conduct, and any other aggravating or mitigating factors.

Pursuant to Article 60 of the Personal Data Protection Act (u.o.d.o.), proceedings regarding violations of personal data protection regulations are conducted by the President of the UODO. Furthermore, Article 7(1) of the u.o.d.o. states that in matters not regulated by this act, the provisions of the Code of Administrative Procedure (k.p.a.) apply to administrative proceedings before the President of the UODO (including proceedings regarding the imposition of administrative fines referred to in Chapter 11 of the u.o.d.o.). According to Article 7(2) of the u.o.d.o., these proceedings are single-instance proceedings.

According to the wording of Article 44 § 4 of the k.p.a. in connection with Article 42 § 1 of the k.p.a., the fiction of delivery occurs upon the expiration of the last day of the period, that is, 14 days, in the case of delivering a letter to a natural person at their residence or workplace by a postal operator, and the letter is left in the case files.

****Legal Assessment****

Referring the above-mentioned legal bases to the established factual state in this case, it should be recognized that the Entrepreneur – being the data controller reporting a personal data breach – by failing to provide a substantive response to the requests of the President of the UODO for explanations in the proceedings with reference number DKN.5130.1731.2020, violated the obligation to cooperate with the President of the UODO in the performance of his tasks and to ensure the President of the UODO access to information necessary for the performance of his tasks, which obligations arise directly from Articles 31 and 58(1)(a) and (e) of Regulation 2016/679.

In this case, the President of the UODO – exercising the power referred to in Article 58(1)(a) of Regulation 2016/679 – directed a request to the Entrepreneur for information necessary for him in the proceedings with reference number DKN.5130.1731.2020. The Entrepreneur did not provide such information – contrary to the obligation imposed on him under Article 58(1)(e) of Regulation 2016/679 – until the initiation of these proceedings. This justifies, in the opinion of the President of the UODO, that there was undoubtedly a violation of both of the aforementioned provisions of Regulation 2016/679 in this case.

The President of the UODO called on the Entrepreneur three times to provide explanations in the case with reference number DKN.5130.1731.2020. The requests dated April 1, 2022, and June 6, 2022, were effectively delivered and received on April 11, 2022, and June 10, 2022, respectively. The Entrepreneur did not provide a substantive response to the questions posed, indicating that due to poor health, it was not possible to provide information, while also attaching copies of medical certificates of incapacity for work for the periods of April 1-12, 2022, and June 8, 2022 – July 5, 2022. However, the circumstances indicated by the Entrepreneur could not... constitute a justified excuse for preventing the President of the UODO from obtaining access to information necessary for considering the case. Despite the removal of the obstacle in the form of inability to work due to illness, the Entrepreneur still did not provide any information. Furthermore, it should be noted that if a Party is unable to act independently in the ongoing proceedings, they may seek assistance from others or appoint

a representative in the matter who would represent them in the proceedings conducted by the supervisory authority. Only as a result of the initiation of administrative proceedings regarding the imposition of an administrative monetary penalty on the Entrepreneur, did they begin to cooperate with the President of the UODO and submitted detailed explanations in the case with reference number DKN.5130.1731.2020.

Despite the neglect on the part of the Entrepreneur, the President of the UODO maintained that the identified violation, consisting of a lack of cooperation with the President of the UODO in the performance of their duties and failure to provide the President of the UODO with access to personal data and information necessary for the execution of their tasks – although highly reprehensible – was rectified by the Entrepreneur immediately after becoming aware of the ongoing proceedings regarding the imposition of an administrative monetary penalty, i.e., upon the submission to the UODO on August 17, 2023 of the Entrepreneur's explanations. The active stance of the Entrepreneur and their willingness to further cooperate with the supervisory authority, confirmed by subsequent submitted explanations in the matter, allows to assume that both in the current proceedings, as well as in any future proceedings initiated by the President of the UODO, in which the Entrepreneur would be a party, they will fulfill their obligation to cooperate with the President of the UODO.

In light of the above, the President of the UODO deemed it justified to issue a reprimand to the Entrepreneur regarding the identified violation of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, while also accepting that in light of the criteria specified in Article 83(2) of Regulation 2016/679, it will be effective and sufficient. However, it should be noted that in the event of a similar incident occurring in the future, any reprimand issued by the President of the UODO against the Entrepreneur will be taken into account when assessing the conditions justifying the imposition of an administrative penalty, in accordance with the principles specified in Article 83(2) of Regulation 2016/679 and will be considered to their detriment.

In this factual and legal state, the President of the UODO decided as stated in the operative part of this decision.

Instruction

The decision is final. The Party has the right to file a complaint to the Provincial Administrative Court in Warsaw, within 30 days from the date of its delivery, through the President of the UODO (address: ul. Stawki 2, 00 – 193 Warsaw). The fee for

the complaint is 200 PLN. In the proceedings before the Provincial Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the Party's request submitted before the initiation of the proceedings or during the course of the proceedings. The request is free of court fees.

Print article

Metadata

Providing entity:

Department of Penalties and Enforcement

Information created by:

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2024-04-18

Information entered by:

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2024-05-21 11:00:24

Last modified by:

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2024-06-05 10:47:25